

Fraud Risk & Financial Crime Control Policy

Policy ID: FIN-FRD-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Head of Risk & Compliance

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Define controls for preventing, detecting, investigating, escalating, and documenting suspected fraud or financial misconduct.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Scope

- Covers transaction fraud, refund abuse, expense fraud, vendor fraud, account misuse, collusion indicators, manipulation of financial records, and control circumvention.
- This policy is a general internal-control document and does not replace jurisdiction-specific AML, sanctions, anti-bribery, or financial-crime obligations where applicable.

2. Fraud indicators

- Unusual transaction velocity.
- Repeated refunds or credits.
- Multiple accounts sharing unusual identifiers.
- Transactions just below approval thresholds.
- Unexpected discount patterns.
- Round-number or off-hours activity.
- Unusual changes in customer, vendor, or employee behavior.
- Attempts to bypass approval or segregation-of-duties controls.

3. Preventive controls

- Role-based access, segregation of duties, approval thresholds, vendor/customer master controls, audit trails, and mandatory supporting evidence.
- Sensitive master-data changes should require independent approval.

4. Detection

- Use rules and analytics to identify unusual behavior, but treat alerts as indicators requiring investigation.
- AI or statistical anomaly detection must not be represented as proof of fraud.

5. Investigation

- Preserve relevant records and timestamps.
- Document allegation, evidence, transaction IDs, persons/functions involved, assessment, actions, and outcome.
- Limit access to sensitive investigation information.

6. Escalation

- Suspected material fraud is escalated to Risk/Compliance and appropriate management.
- Potential criminal, regulatory, sanctions, or AML matters must follow applicable legal and compliance procedures.

7. Non-retaliation & confidentiality

- Good-faith reporting should be protected from retaliation consistent with applicable law and company procedures.
- Investigations should be conducted confidentially and on a need-to-know basis.

8. RAG retrieval anchors

- Fraud indicator
- Refund abuse
- Threshold avoidance
- Segregation of duties
- Investigation evidence
- Fraud escalation
- AI anomaly is not proof

Document control: Review at least annually and whenever a material business, regulatory, accounting, technology, or risk change occurs. This document is not legal, accounting, tax, or regulatory advice.